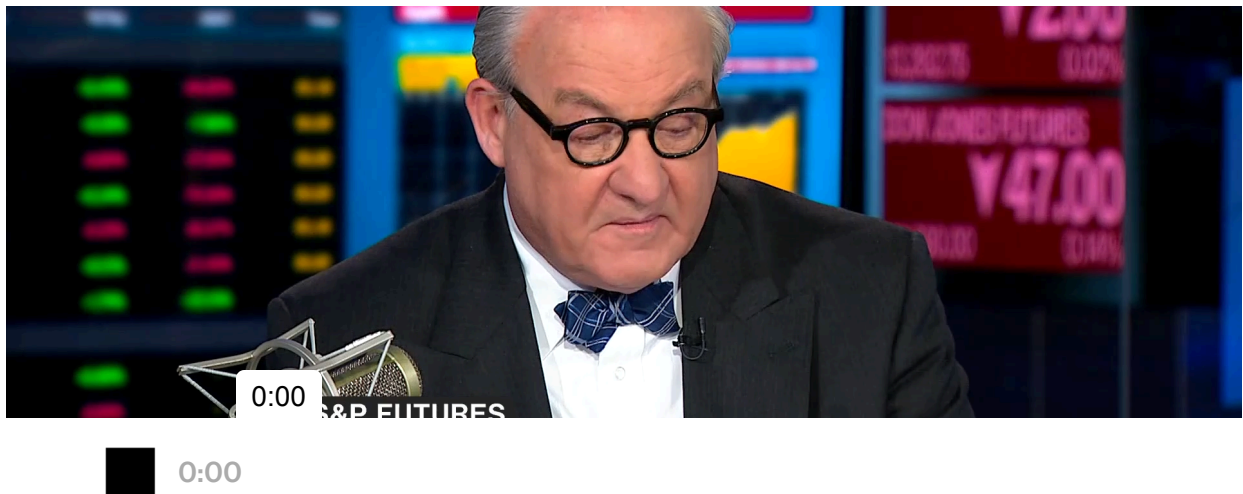


US Inflation Shows Signs of Moderating, Giving Fed Room to Pause

- Consumer prices rose 4.9% on an annual basis, below forecast
- Narrow service measure watched by Fed also cooled in April



Unmute | US Inflation Moderated Slightly in April

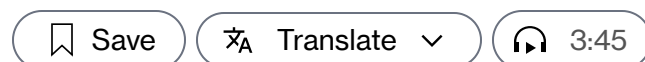


Underlying US Inflation Moderated Slightly in April

By [Augusta Saraiva](#)

May 10, 2023 at 8:34 AM EDT

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This article is for **subscribers only**.

US inflation showed signs of moderating in April, giving the Federal Reserve room to pause interest-rate increases soon.

The consumer price index rose by 4.9% from a year earlier, the first sub-5% reading in two years, a Bureau of Labor Statistics report showed Wednesday.

Excluding food and energy, the so-called core consumer price index also cooled slightly.

A narrower price measure often cited by Fed officials – tracking services that have boomed as the pandemic faded – showed an even more pronounced slowdown, registering the smallest monthly increase since mid-2022 as airfares and hotel costs declined.

US stocks opened higher, Treasuries rallied and the dollar weakened.

Follow the reaction in real time here on Bloomberg's TOPLive blog

Metric	Actual	Median Estimate
CPI MoM	+0.4%	+0.4%
Core CPI MoM	+0.4%	+0.4%
CPI YoY	+4.9%	+5%
Core CPI YoY	+5.5%	+5.5%

The report suggests that inflation is cooling as a year's worth of interest-rate increases and recent credit stress work their way through the economy. However, overall prices are still rising at a brisk pace and the job market remains robust.

The Fed will need to see more than one month of data to be confident that price pressures are on a sustained downward path, especially after officials hinted last week that they may be done hiking for now.

That said, Wednesday's report will be one of several that factor into policymakers' decision next month. They'll also receive the CPI for May, as well as reports on the labor market and their preferred inflation measure, the personal consumption expenditures index. Additionally, officials are still monitoring the ongoing banking stress and to what extent that will further tighten credit conditions.

Several key elements of US inflation showed moderation in April, as prices for airfares, hotel stays and new cars declined. Appliances fell by the most on record.

Shelter costs, which are the biggest services component and make up about one-third of the overall CPI index, rose 0.4% last month, the smallest in over a year. Measures of rent advanced.

Because of the way the housing metrics are calculated, there's a significant lag between real-time price changes and the government statistics. Other metrics suggest these gauges will soon turn over, but economists are split on the exact timing.

What Bloomberg Economics Says...

“While the April CPI report isn’t exactly reassuring, it also won’t jolt Fed officials into signaling another rate hike in June, given their expectation that the full disinflationary impact from tighter credit conditions has yet to show up. However, the slow progress in reducing core inflation highlights how unlikely it is that the Fed will cut rates this year.”

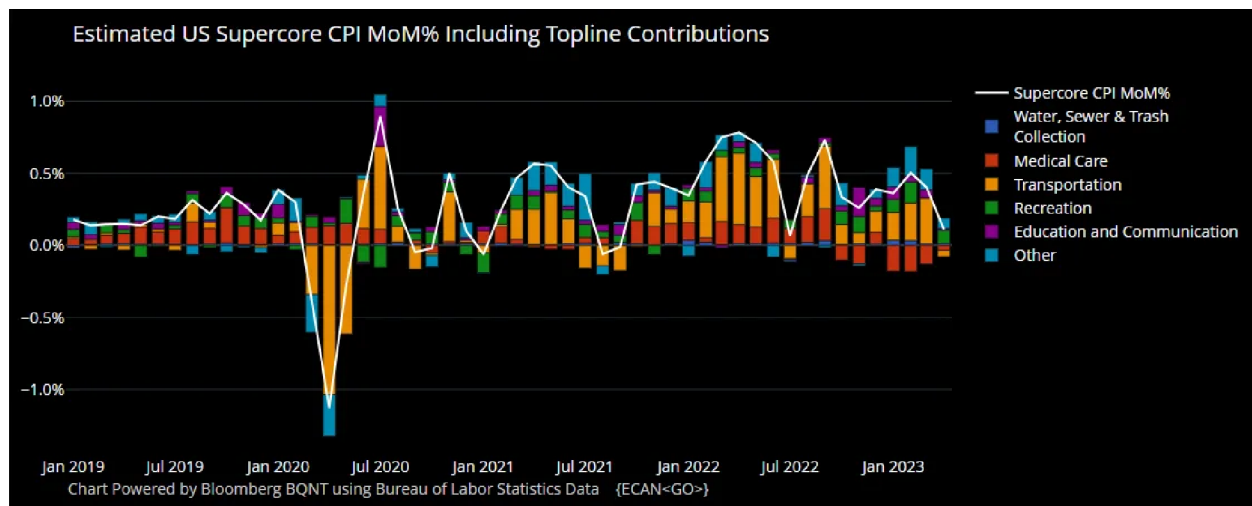
– Anna Wong and Jonathan Church, economists

To read the full note, click [here](#) ☐☐

Stripping out energy and housing, services prices were up 0.1% in April and 5.1% from a year ago, both the weakest since July, according to Bloomberg calculations. Policymakers have stressed the importance of looking at such a metric when assessing the nation’s inflation trajectory, though they compute it based on a separate index.

[Read more: US Core Services Inflation Cools to Slowest Pace in Nine Months](#)

☐☐



Source: Bloomberg

The goods disinflation that was dragging down overall price pressures last year has been losing steam. Excluding food and energy, goods prices were up 0.6% in April, the most since June. Used-car prices – a key driver of slower price growth in recent months – rebounded to rise the most in nearly two years.

Energy prices climbed 0.6% in the month, driven by higher pump prices. While grocery costs fell for a second month, the price of dining out continued to rise. Baby food and formula prices rose the most on record.

While Fed officials agree that wage gains and price growth are related, they're divided as to which drives the other. A separate report out Wednesday showed real average hourly earnings climbed 0.1% in April, and were down 0.5% from a year earlier.

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– With assistance from Chris Middleton, Reade Pickert, Matthew Boesler, Sophie Caronello, and Liz Capo McCormick

(Updates with market open)



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